POLICY | GOVERNMENT SUPPORT

Fertiliser Subsidy for Paddy: The Cash Grant Scheme

How the government's fertiliser support for paddy farmers works, the most recent approved rates, and what was not yet decided at the time of writing.

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Teaching edition for the STEMLink AI Engineer Bootcamp, compiled from official Sri Lankan sources (Department of Agriculture and RRDI web pages, Agricultural and Agrarian Insurance Board, Cabinet decisions as reported), accessed 3 October 2026. Sources are listed in the corpus README, not in this document.

1. How the subsidy is paid

Fertiliser support for paddy is paid as a direct cash transfer into farmers' bank accounts, replacing earlier schemes in which fertiliser itself was supplied at a subsidised price. The farmer then buys fertiliser on the market. Eligibility is handled through the farmer's Agrarian Service Centre.

2. Most recent approved rates: 2026 Yala season

The Cabinet approved the subsidy for the 2025/26 Maha season on 18 August 2025, and in March 2026 approved continuing it for the 2026 Yala season on these terms:

- Paddy: Rs. 25,000 per hectare, up to a maximum of two hectares per farmer.
- Other field crops cultivated on paddy land (for example mung bean, cowpea and sesame): Rs. 15,000 per hectare, up to a maximum of two hectares per farmer.

A farmer cultivating more than two hectares of paddy is paid for two hectares only.

3. Earlier seasons

- 2023/24 Maha: a fertiliser cash grant of Rs. 15,000 per hectare, up to two hectares.
- 2024/25 Maha: Rs. 25,000 per hectare, paid in two instalments of Rs. 15,000 and Rs. 10,000, together with muriate of potash (MOP) supplied free of charge.

4. 2026/27 Maha season

No Cabinet decision on the subsidy for the 2026/27 Maha season had been found as of 3 October 2026. Until one is announced, the amount for this season must not be stated as fact. Farmers should confirm the current position with their Agrarian Service Centre.

> **ADVISORY USE**
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> AgriVibe may explain how the scheme works and quote the most recent approved rates with their season. It must say which season a rate applies to, and must not tell a farmer they will receive a payment.